your mortgage company and request that your home be reappraised as it is undervalued. If your lender will not cooperate, another lender will! Take control.

For mortgages after August 1, 1999, the lender is supposed to automatically stop taking PMI when you have reached 22% equity in your house. It does not mean that they will. They can continue to rip you off for the monthly PMI charge if you have a history of late payments or missing payments.

Get Rid of It

PMI may not seem like much each month, but it is a useless fee. You get absolutely nothing from paying it. It is essentially a penalty every month. For a mortgage balance of $200,000, you could pay over $1000 a year in PMI! That is $1000 of your money up in smoke!

A great technique to get the mortgage paid down faster and to have a lower payment every month is to get rid of PMI. Borrow from your family to get the 20% or simply call and ask that they remove it. That $1000 is your money!

Bye-Bye Interest

A way for folks to cut their mortgage from 30 years to 10 years can seem a little more complicated when you hear people throwing around sentences with “banker speak” like: Many homeowners have negative amortization loans with a variable rate.

This means that even though the homeowner makes their payment, their principal balance actually increases. Variable rates are a tricky thing. As market interest rates go up, the interest rate on the mortgage gets raised. As the loan’s interest rate increases, the payment significantly increases. These folks are victims of the banks and lending institutions because they trap them in the beginning with a great teaser interest rate and then the rates go to the moon. The lenders don’t tell these people, “Hey, you are getting screwed here. You should go and refinance your loan.”